# Severn Residential Mortgages 2026-1 plc

Residential Mortgage-Backed Floating Rate Notes due 2064

Issue Date: 14 May 2026

**Important notice**

This offering circular is a teaching document written for the book *Learning AI from Zero — Build Your Own AI Agent*. The Issuer, the Seller, the trustee, the banks and every mortgage loan described here are fictional. Any resemblance to a real company or person is a coincidence. It is shorter than a real offering circular, which runs to several hundred pages, and it is laid out differently from the Thames Auto Receivables prospectus on purpose: dates are written in words, percentages are written "per cent", and the priorities of payments are lettered.

Capitalised terms are defined in the Glossary of Defined Terms at the end of this document.

## Key Terms

| Term | Detail |
|---|---|
| Issuer | Severn Residential Mortgages 2026-1 plc |
| Seller | Marlowe Building Society |
| Mortgage Administrator | Marlowe Building Society |
| Cash Manager | Marlowe Building Society |
| Note Trustee and Security Trustee | Kingsgate Trustees Limited |
| Issuer Account Bank and Swap Provider | Halcyon Bank plc |
| Arranger | Halcyon Bank plc |
| Portfolio Reference Date | 31 March 2026 |
| Issue Date | 14 May 2026 |
| First Interest Payment Date | 20 July 2026 |
| Interest Payment Dates | The 20th day of January, April, July and October |
| Step-Up Date | 20 July 2031 |
| Final Maturity Date | 20 July 2064 |
| Denomination | Sterling |
| Provisional Portfolio | 1,912 first-ranking residential mortgage loans |
| Aggregate current balance of the Provisional Portfolio | 400,000,000 |

**Overview.** On the Issue Date the Issuer will buy the Provisional Portfolio from the Seller and pay for it with the proceeds of the Notes. The Mortgage Administrator will continue to collect the borrowers' monthly payments. The Cash Manager will apply the receipts on each Interest Payment Date, quarterly, in the orders set out in the Revenue Priority of Payments and the Principal Priority of Payments.

## Section 1 — The Notes

| Class | Principal amount | % of Notes | Reference rate | Margin to Step-Up Date | Margin after Step-Up Date | Expected rating |
|---|---|---|---|---|---|---|
| A | 350,000,000 | 87.50 | Compounded Daily SONIA | 0.58% | 1.16% | AAAsf |
| B | 16,000,000 | 4.00 | Compounded Daily SONIA | 0.95% | 1.425% | AAsf |
| C | 12,000,000 | 3.00 | Compounded Daily SONIA | 1.35% | 2.025% | Asf |
| D | 10,000,000 | 2.50 | Compounded Daily SONIA | 2.10% | 3.15% | BBBsf |
| Z | 12,000,000 | 3.00 | None | n/a | n/a | Unrated |

The Notes are denominated in sterling; the principal amounts above are in pounds. Interest on the Class A, Class B, Class C and Class D Notes is payable quarterly in arrear on each Interest Payment Date at Compounded Daily SONIA plus the relevant margin. The Class Z Notes do not bear interest.

**Step-up and optional redemption.** From the Step-Up Date the margins increase to those shown in the last margin column. On the Step-Up Date and on any Interest Payment Date after it, the Issuer may redeem all (but not some) of the Notes at their principal amount outstanding plus accrued interest. The Issuer may also redeem all the Notes on any Interest Payment Date on which the current balance of the portfolio is less than 10 per cent of its balance on the Issue Date.

**Final redemption.** Unless redeemed earlier, the Notes will be redeemed on the Final Maturity Date.

## Section 2 — Credit Structure

**Subordination.** Payments on the Notes are made in order of seniority: the Class A Notes rank ahead of the Class B Notes, which rank ahead of the Class C Notes, and so on down to the Class Z Notes. The Class Z Notes absorb losses first. On the Issue Date the Notes ranking below the Class A Notes represent 12.50 per cent of all the Notes.

**Reserve funds.** Two reserve funds will be funded on the Issue Date from the proceeds of a Subordinated Loan made by the Seller:

| Reserve | Required amount | Amount on the Issue Date (£) |
|---|---|---|
| General Reserve Fund | 1.50 per cent of the Class A, B, C and D Notes | 5,820,000 |
| Liquidity Reserve Fund | 1.00 per cent of the Class A and B Notes | 3,660,000 |

The General Reserve Fund covers shortfalls of senior expenses and interest on the Class A to D Notes, and debit balances on the Class A to D Principal Deficiency Ledgers; it does not cover the Class Z Notes. The Liquidity Reserve Fund covers shortfalls of senior expenses and interest on the Class A and B Notes only. Each reserve fund is topped up to its required amount from Available Revenue Receipts in the order set out in Section 3.

**Principal Deficiency Ledger.** Realised losses, and principal receipts used to pay revenue items, are recorded on the Principal Deficiency Ledger, starting with the Class Z sub-ledger and moving up to the Class A sub-ledger. Excess revenue clears the sub-ledgers in order of seniority.

**Interest rate swap.** Most loans pay a fixed rate for two or five years while the Notes pay a floating rate. The Issuer enters into a swap with the Swap Provider to cover this difference.

## Section 3 — Revenue Priority of Payments

Before the delivery of an enforcement notice, the Cash Manager will apply the Available Revenue Receipts on each Interest Payment Date in the following order of priority (in each case only if and to the extent that the payments of higher priority have been made in full):

(a) Note Trustee and Security Trustee fees and expenses;
(b) Mortgage Administrator, Cash Manager and Issuer Account Bank fees;
(c) Net amounts due to the Swap Provider;
(d) Interest on the Class A Notes;
(e) Liquidity Reserve Fund top-up;
(f) Class A Principal Deficiency Ledger;
(g) Interest on the Class B Notes;
(h) Class B Principal Deficiency Ledger;
(i) Interest on the Class C Notes;
(j) Class C Principal Deficiency Ledger;
(k) Interest on the Class D Notes;
(l) Class D Principal Deficiency Ledger;
(m) General Reserve Fund top-up;
(n) Class Z Principal Deficiency Ledger;
(o) Subordinated swap termination payments;
(p) Interest and principal on the Subordinated Loan;
(q) Deferred consideration to the Seller.

If the Available Revenue Receipts are not enough to pay items (a) to (d) and the interest on the Class B Notes, the Liquidity Reserve Fund is drawn first and then the General Reserve Fund. The General Reserve Fund also covers the interest on the Class C and Class D Notes.

## Section 4 — Principal Priority of Payments

Before the delivery of an enforcement notice, the Cash Manager will apply the Available Principal Receipts on each Interest Payment Date in the following order of priority:

(a) Revenue shortfall;
(b) Principal on the Class A Notes;
(c) Principal on the Class B Notes;
(d) Principal on the Class C Notes;
(e) Principal on the Class D Notes;
(f) Principal on the Class Z Notes;
(g) Excess to Available Revenue Receipts.

Item (a) means any amount of Available Principal Receipts needed to pay a shortfall of senior expenses or of interest on the most senior class of Notes outstanding; the amount used is recorded on the Principal Deficiency Ledger.

**Pro rata payment.** Until a Sequential Payment Trigger occurs, and provided the credit enhancement of the Class A Notes is at least twice its level on the Issue Date, items (b) to (e) are paid pro rata to the principal amount outstanding of the Class A, Class B, Class C and Class D Notes. Otherwise they are paid sequentially in the order shown.

### Section 5 — Trigger Events

A **Sequential Payment Trigger** occurs if any of the following events happens:

- **Arrears Trigger**: on any Calculation Date, the current balance of loans 3 or more months in arrears divided by the current balance of the portfolio exceeds 2.50 per cent.
- **Cumulative Loss Trigger**: on any Calculation Date, the cumulative realised losses divided by the portfolio balance at the Issue Date exceeds 0.40 per cent.
- **Reserve Trigger**: on any Interest Payment Date, the General Reserve Fund balance divided by the General Reserve Fund Required Amount is less than 85 per cent.

Once a Sequential Payment Trigger has occurred, principal is paid sequentially, the Class A Notes first, and the switch is permanent.

## Section 6 — The Provisional Portfolio

The tables below describe the Provisional Portfolio on the Portfolio Reference Date. Percentages are percentages of the aggregate current balance of 400,000,000 pounds.

| Characteristic | Value |
|---|---|
| Number of loans | 1,912 |
| Average current balance | 209,205.02 |
| Weighted average current loan-to-value | 64.8% |
| Weighted average indexed loan-to-value | 58.3% |
| Weighted average interest rate | 4.72% |
| Weighted average seasoning | 21.4 months |
| Weighted average remaining term | 24.6 years |

**Table 6.1 — Current loan-to-value**

| Band | Number of loans | Current balance (£) | % of balance |
|---|---|---|---|
| 0% to 50% | 570 | 85,600,000.00 | 21.40 |
| 50% to 60% | 291 | 64,400,000.00 | 16.10 |
| 60% to 70% | 346 | 79,200,000.00 | 19.80 |
| 70% to 80% | 390 | 90,400,000.00 | 22.60 |
| 80% to 90% | 241 | 60,800,000.00 | 15.20 |
| 90% to 95% | 74 | 19,600,000.00 | 4.90 |
| **Total** | **1,912** | **400,000,000.00** | **100.00** |

**Table 6.2 — Indexed loan-to-value**

| Band | Number of loans | Current balance (£) | % of balance |
|---|---|---|---|
| 0% to 50% | 729 | 118,800,000.00 | 29.70 |
| 50% to 60% | 325 | 75,200,000.00 | 18.80 |
| 60% to 70% | 367 | 85,600,000.00 | 21.40 |
| 70% to 80% | 306 | 74,400,000.00 | 18.60 |
| 80% to 90% | 151 | 37,200,000.00 | 9.30 |
| 90% to 95% | 34 | 8,800,000.00 | 2.20 |
| **Total** | **1,912** | **400,000,000.00** | **100.00** |

**Table 6.3 — Region**

| Band | Number of loans | Current balance (£) | % of balance |
|---|---|---|---|
| London | 231 | 76,800,000.00 | 19.20 |
| South East | 356 | 85,600,000.00 | 21.40 |
| South West | 197 | 39,200,000.00 | 9.80 |
| East of England | 208 | 44,800,000.00 | 11.20 |
| Midlands | 291 | 52,400,000.00 | 13.10 |
| North West | 220 | 37,600,000.00 | 9.40 |
| North East and Yorkshire | 185 | 28,400,000.00 | 7.10 |
| Wales | 96 | 15,200,000.00 | 3.80 |
| Scotland | 128 | 20,000,000.00 | 5.00 |
| **Total** | **1,912** | **400,000,000.00** | **100.00** |

**Table 6.4 — Interest type**

| Band | Number of loans | Current balance (£) | % of balance |
|---|---|---|---|
| Fixed for 2 years | 576 | 113,600,000.00 | 28.40 |
| Fixed for 5 years | 979 | 213,200,000.00 | 53.30 |
| Standard variable rate | 168 | 28,400,000.00 | 7.10 |
| Tracker (Bank Rate) | 189 | 44,800,000.00 | 11.20 |
| **Total** | **1,912** | **400,000,000.00** | **100.00** |

**Table 6.5 — Borrower type**

| Band | Number of loans | Current balance (£) | % of balance |
|---|---|---|---|
| First-time buyer | 597 | 110,400,000.00 | 27.60 |
| Home mover | 671 | 155,600,000.00 | 38.90 |
| Remortgage | 644 | 134,000,000.00 | 33.50 |
| **Total** | **1,912** | **400,000,000.00** | **100.00** |

**Table 6.6 — Repayment type**

| Band | Number of loans | Current balance (£) | % of balance |
|---|---|---|---|
| Capital and interest | 1,780 | 365,600,000.00 | 91.40 |
| Interest-only | 40 | 12,800,000.00 | 3.20 |
| Part and part | 92 | 21,600,000.00 | 5.40 |
| **Total** | **1,912** | **400,000,000.00** | **100.00** |

## Section 7 — Lending Criteria and Loan Warranties

The Seller originated every loan under its lending criteria, which require an affordability assessment, a credit search, verification of income and a valuation of the property by an approved valuer.

On the Issue Date the Seller will give the following warranties about each loan:

(a) Each loan is secured by a first-ranking legal mortgage over a residential property in England or Wales, or by a first-ranking standard security over a residential property in Scotland;
(b) Each borrower is an individual who occupies the property as his or her main residence;
(c) No loan was more than 30 days in arrears on the Portfolio Reference Date;
(d) Each loan had made at least 3 monthly payments by the Portfolio Reference Date;
(e) The current loan-to-value ratio of each loan does not exceed 95 per cent;
(f) No loan is a buy-to-let, shared-ownership, right-to-buy or equity-release loan;
(g) Each loan was originated by the Seller between 2019 and 2025 under its lending criteria;
(h) The final maturity date of each loan falls no later than July 2061;
(i) Each loan is denominated in sterling and repayable in monthly instalments;
(j) No borrower is subject to a bankruptcy order or an individual voluntary arrangement.

If a warranty proves untrue and the breach cannot be remedied, the Seller must buy the loan back at its current balance plus accrued interest.

### Section 8 — Servicing and Arrears Management

The Mortgage Administrator services the loans under the mortgage administration agreement for a fee of 0.20 per cent per year of the current balance of the portfolio. It applies the Seller's arrears policy: a borrower who misses a payment is contacted within ten days, offered a payment arrangement where appropriate, and possession is sought only as a last resort and in line with the rules of the Financial Conduct Authority on fair treatment of customers in financial difficulty.

The Cash Manager receives 30,000 pounds per year and the Note Trustee and Security Trustee receives 20,000 pounds per year.

## Section 9 — Risk Retention

The Seller retains a material net economic interest of not less than 5 per cent of the nominal value of the securitised exposures by holding randomly selected exposures, which would otherwise have been securitised, from a pool of not less than 100 potentially securitised exposures at origination, as required by the risk retention rules of the UK securitisation framework (SECN 5 of the FCA Handbook and the Securitisation Part of the PRA Rulebook). The Seller will not sell, hedge or otherwise mitigate the credit risk of the retained exposures, and will confirm its retention in each quarterly investor report.

## Section 10 — Risk Factors

**Credit risk.** Payments on the Notes depend on borrowers paying their loans. Losses not covered by excess revenue, the reserve funds and subordination will reduce the payments on the Notes.

**Interest rate risk.** Fixed-rate loans reset to the standard variable rate after their initial period; the swap covers the fixed-rate period only.

**Prepayment risk.** Borrowers may repay early, for example when their fixed-rate period ends, which changes the timing of principal payments on the Notes.

**House price risk.** A fall in house prices raises loan-to-value ratios and may increase realised losses.

## Glossary of Defined Terms

"**Arrears Ratio**" means the aggregate current balance of the loans that are 3 or more months in arrears divided by the aggregate current balance of the portfolio, on the last day of a collection period.

"**Cumulative Loss Ratio**" means the aggregate of all realised losses since the Issue Date divided by the current balance of the portfolio on the Issue Date.

"**Realised Loss**" means the amount by which the balance of a loan exceeds the proceeds of enforcement after the property has been sold.

"**Principal Deficiency Ledger**" means a ledger, one sub-ledger per class, recording realised losses and principal used to pay revenue items, cleared from Available Revenue Receipts.

"**Step-Up Date**" means the Interest Payment Date in July 2031, after which the margins step up and the Issuer may redeem all the Notes.

"**Interest Payment Date**" means the 20th day of January, April, July and October in each year.

"**Calculation Date**" means the last day of the month before each Interest Payment Date.